year, the ratio was only 29 per cent. This shortfall of 33 per cent amounts to 1.6 per cent of the GDP—squeezed into just six months, this means an annualised pace of over 3 per cent of the GDP. A fall in fiscal deficit is a headwind to growth, and an increase in fiscal deficit provides a tailwind. Given that the full-year deficit is budgeted to decline by only 0.7 per cent of the GDP, much of the slowdown in fiscal spending in the first half was unintended, possibly due to elections and the code of conduct slowing file movement. This is reversing in the second half, providing a tailwind to growth that can also support growth in the next fiscal year.

An equally important contributor to the growth slowdown was the sharp contraction in bank credit growth. This fell from nearly 17 per cent in March to less than 11 per cent by December. Some of this was intended—the regulator was justifiably worried about excessive growth in unsecured personal loans and microfinance, and sought to slow them down. Further, a slowing economy does reduce demand for credit as well. However, these account for only part of the overall slowdown in credit.

A major additional driver, in our view, was a shortage of money in the system. Money in any economy is created either by the central bank or the commercial banks (when they issue loans, they create deposits). If the central bank does not inject enough money, and commercial banks do all the money creation, the loan-deposit ratio (LDR) rises, as it did in India for 31 months. Around March, the regulator communicated its concerns about high LDRs to banks. This was surprising, given that banks now carry higher capital buffers than in the past and thus can sustain a higher LDR without risking stability. When banks slowed credit growth in response, it, in turn, slowed down deposit growth and triggered a downward spiral in credit growth. It was only after July, when the RBI began to ease overnight liquidity, that the gap between deposit and loan growth began to narrow.

The much-delayed cut in the Cash Reserve Ratio (CRR) in December should help revive credit growth over the next few quarters. However, for a speedier recovery in system credit growth, more steps may be needed. Over and above providing comfort to banks on liquidity, macro-prudential easing may also be considered in segments where the RBI is comfortable with the credit quality.

These steps, if undertaken quickly, can bring growth back to the potential growth rate of around 7 per cent, helped by a turn in the real-estate market, where inventories are low, and house prices are still affordable. The need to invest again in new power capacity, in emerging areas like data centres, energy



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